

Cordoba (Spain), 17 April 2026

Dear members of the IASB,

We appreciate the opportunity to comment on *Exposure Draft Amendments to the Fair Value Option for Investments in Associates and Joint Ventures—Proposed Amendments to IAS 28*. We are faculty members of the Department of Financial Economics and Accounting at Universidad Loyola Andalucía (Spain). We hope you find our comments helpful.

We agree with the criteria set out by the IASB in BC9 to address the issue arising from paragraphs 18 and 19 of IAS 28. Overall, we support the IASB's proposal, as we consider it both appropriate and necessary within its defined scope. We also agree with the proposed transition requirements.

Our comments include a minor clarification to the proposal, as well as a broader reflection if a more comprehensive reform of paragraphs 18 and 19 of IAS 28 is undertaken, particularly in relation to the design of an unrestricted fair value option.

Please do not hesitate to contact us should you require any clarification or further information.

Sincerely,

PhD Horacio Molina-Sánchez PhD Marta de Vicente-Lama PhD Antonio Barral Rivada

Universidad Loyola Andalucía

1.- Clarification to the proposal

The proposal has been developed with the aim of clarifying the concept of *similar entities* by introducing a principle-based approach, replacing what had effectively become a list-based description of entity types without a clear explanation as to why those specific entities were included to the exclusion of others. The rationale underlying paragraph 18 of IAS 28 appears to replicate, in the context of entities over which significant influence is exercised, an exemption analogous to that provided within the consolidation framework.

In this respect, paragraph 31 of IFRS 10 establishes that investment entities are exempt from consolidation and are instead required to measure their investment portfolios at fair value through profit or loss. The entities referred to in paragraph 19 of IAS 28 carry out a principal activity that is comparable in nature to that of investment entities.

We agree with this formulation insofar as it is grounded in a principle-based definition of similar entities. In our view, such entities are those whose primary business activity consists of investing in financial instruments, including equity instruments, as IAS 28 is intended to apply to this type of entity. Under this approach, for example, investment banking activities could qualify to apply the fair value option.

Nevertheless, we believe that the current wording would benefit from further refinement. As proposed, it could be interpreted as allowing any entity that invests in particular types of assets—for instance, a real estate entity—to elect measurement at fair value. We do not consider that such an outcome reflects the intention of paragraph 18 of IAS 28 when referring to similar entities, nor does it appropriately delimit the scope of the fair value option.

Accordingly, we propose clarifying the wording by specifying that the exemption applies to: **“entities that have a main business activity of investing in this particular type of assets (see paragraph 49(a) of IFRS 18)”**

2.- The proposal of an unrestricted Fair Value Option

2.1.- Introduction

The amendment to the Fair Value Option (FVO) set out in paragraphs 18 and 19 of IAS 28 has been proposed by IASB with a deliberately limited scope. However, the alternative view expressed by three IASB Board members—calling for a broader reform to ensure that the amendment is more robust from an accounting-principles perspective—arguably represents the most contentious aspect of this consultation.

The core argument underlying the dissenting view is that fair value measurement through profit or loss provides useful information to users regardless of the investor’s business activity. Restricting the FVO to entities that trade in equity instruments and manage those instruments on a fair value basis does not appear to

be consistent with the measurement requirements for equity instruments under IFRS 9.

One possible explanation for this restriction is that, within this section of IAS 28, the equity method is not treated as a measurement basis, but rather as a one-line consolidation procedure. This broader conceptual issue has been identified by many respondents to the IAS 28 amendment project¹ as a missing element in the current discussion, and has also been acknowledged by the IASB staff consider as requiring consideration from a conceptual perspective—potentially as part of the Fourth Agenda Consultation (Staff Paper, Project plan for redeliberation of the Exposure Draft proposals, June 2025, paragraph 16; available at: [ap13-redeliberation-ed-proposals.pdf](#)).

This issue is particularly relevant at present because, for certain insurance entities whose core business activity involves managing these assets, it is not clear whether the Fair Value Option in IAS 28 applies. As a result, these entities would present the results arising from these investments within the investment result category, even though the purpose of these assets is to meet insurance obligations whose recognition and subsequent changes are recorded as operating expenses. This results in a presentation-related accounting asymmetry that is significant for the analysis of these entities. The importance of this issue is further evidenced by the fact that IFRS 18 allows entities within the scope of the IAS 28.18 Fair Value Option to reassess their initial designation between the equity method and fair value through profit or loss at the date of initial application of IFRS 18 (IFRS 18.C7).

2.2.- Critical Analysis

The debate arises from the **diversity of views** in interpreting the concept of “similar entities” set out in paragraph 18 of IAS 28. This issue was highlighted in the letter from the Insurance Europe CFO Forum (CL 102) to the Equity Method Project (2024) and acknowledged by the IASB technical staff. Moreover, the implications of this diversity are significant because, following the issuance of IFRS 18, it will affect not only measurement but also the presentation of results for insurance entities that manage these investments in order to meet their insurance liabilities.

One of the debates not addressed in the IAS 28 Amendment Exposure Draft—yet highlighted as important by several respondents—is whether the equity method should be regarded as a measurement basis or as a consolidation procedure. In our view, clarifying this preliminary question would help explain the different positions observed. Several participants appear to view the equity method as a hybrid approach, whereby it is sometimes treated as a one-line consolidation procedure and, in other cases, as a measurement criterion².

Paragraph 18 of IAS 28 treats the equity method as a consolidation procedure because it only allows an alternative measurement of these investments when the

¹ Available at: [IFRS - Equity Method](#)

² CL22 ESMA (page 4.7) and CL.74 EFRAG (page 5.3) to the ED Modifications to Equity Method

management approach represents the entity's main business activity and, therefore, the investments are managed on a fair value basis. This view aligns the one-line consolidation procedure with the investment-entity exception permitted in IFRS 10.31. Under this interpretation, the option to measure investments at fair value would be restricted to associates engaged in this type of activity. However, the fact that this exemption is framed as an option rather than as a requirement introduces an element that is consistent with conceiving the equity method as a measurement basis.

In our opinion, **IFRS 18 appears to regard the equity method as a simplified consolidation procedure** which, due to its one-line presentation, cannot be included within operating profit for several reasons: (a) these are investments controlled by another entity, and (b) income and expenses are not disaggregated, which affects margin analysis (IFRS 18.BC114). Where such investments qualify as trading assets and measured at fair value through profit or loss accordingly, the related results may instead be included within operating profit.

The proposal included in the Exposure Draft on the FVO maintains the view that the equity method is a consolidation procedure and therefore limits the use of fair value to entities that manage these investments as their main business activity (such as venture capital organisations, mutual funds, unit trusts, or insurance entities that manage such assets as a core activity) and thus rely on fair value as the relevant measurement basis. By contrast, the alternative view expressed by three IASB Board members is grounded in the idea that the equity method is a measurement basis. Accordingly, their position is based on the following ideas: (a) fair value provides more relevant information to users than the equity method; (b) it is consistent with the measurement of similar financial instruments; and (c) an unrestricted approach would avoid the perception that the requirements are as sector-specific rather than principle-based.

If the equity method were instead regarded as a measurement basis, it could be characterised as a current-value measurement of the investment derived from realised results from the investee, rather than from expectations of future performance, which are embedded in any fair value measurement. Under this interpretation, the arguments for excluding investments measured using the equity method from operating profit in IFRS 18 could merit reconsideration.

In the case of insurance entities whose investments in associates and joint ventures are intended to meet long-term obligations, updating the carrying amount based on realised returns (the investment income obtained) rather than expected future returns (embedded in fair value) would, in our view, provide more meaningful information. This approach would also mitigate the volatility concerns raised by some respondents to the IAS 28 Amendment to Equity Method project (for example, CL102, European Insurance CFO Forum, Q11: "beyond the fact that it may create artificial volatility in profit or loss compared to an accounting equity method based on cost for some funds").

2.3.- Conclusions

The debate is sufficiently complex that it may not be fully addressed through a partial approach and could warrant a more comprehensive reconsideration of the equity method and, potentially, of related standards, including IFRS 18.

The proposal could have explicitly referred to insurance entities; however, it is also possible that insurance entities do not manage these investments as part of their main business activity. If that were the case, denying them access to the Fair Value Option would not be appropriate. Conversely, even where investments are managed as a main business activity—as is often the case for private equity investments—this does not necessarily imply that they must be measured at fair value. Where such investments are not measured at fair value, their results would be presented within the investment result category. Whether this classification is appropriate is not resolved by the Fair Value Option and would instead require amendments to IFRS 18.

Introducing the concept of “similar entities,” drafted as a principle—namely, “those that have a main business activity of investing in particular types of assets (see paragraph 49(a) of IFRS 18)” would have broader implications. Under the wording currently in force, an entity whose main business activity is investing in such assets would classify holdings that do not confer significant influence within operating profit, while presenting the results of investments in associates and joint ventures within the investment results category. For the latter, the entity may be unable to elect measurement at fair value because paragraph 18 is currently drafted as an exception applicable to a specified type of entity rather than as a principle-based requirement.

A broader change—beyond the scope of the current project—might raise questions as to whether the consultation process undertaken has been sufficient. While experience under US GAAP is generally viewed as positive and no unintended consequences would be expected, we favour a limited solution for two reasons. First, consultation on the unrestricted use of the Fair Value Option would require a more fundamental analysis of the nature of the equity method. Second, from a due-process perspective, it would be more appropriate to gather evidence on the effects of an unrestricted Fair Value Option before introducing such a change.

Overall, the proposal included in the Exposure Draft on the Fair Value Option is consistent with the view that the equity method is a one-line consolidation procedure. A shift towards interpreting the equity method as a measurement basis would require a clear articulation of the underlying principle and consequential amendments to those provisions of IAS 28 — and, in our view, other related standards, such as IFRS 18—that would be affected.